

EQUITY RESEARCH

INTEL CORPORATION

INTC | Technology

Rating: Sell

Current: \$84.99 | Target: \$65.00

April 2026

Key Metrics Snapshot

Market Cap	\$426.74B	ROE	-0.23%
P/E (Fwd)	-658.38	Dividend Yield	0.15%
P/B Ratio	1.54	52W Range	\$18.97 - \$87.10

Investment Thesis

Intel is navigating a period of significant structural contraction, characterized by a -9.6% revenue CAGR and substantial margin compression since 2021. Recent results indicate a pivot toward operational efficiency, with disciplined SG&A; reductions and a projected recovery in EBITDA margins to 27.2% by 2025. While modest top-line growth is expected through 2027, the company continues to face profitability challenges as evidenced by persistent negative EPS forecasts and a volatile valuation profile.

Company Overview

Intel Corporation is a global leader in the design and manufacturing of semiconductor products and computing technologies. Operating as an Integrated Device Manufacturer (IDM), Intel is unique among its primary peers for maintaining its own fabrication facilities while simultaneously pivoting toward a foundry model to produce chips for external customers. The company's core business is organized around its Client Computing Group, which provides CPUs for the personal computer market, and its Data Center and AI Group. Additionally, Intel is expanding its footprint in networking, edge computing, and specialized foundry services to diversify its revenue streams.

In terms of market position, Intel has historically dominated the x86 architecture landscape. However, the company is currently navigating a period of intense competitive pressure and structural transition. While Intel remains a volume leader in the PC segment, it has ceded significant market share to AMD and has struggled to match the explosive growth of NVIDIA in the high-performance AI accelerator market. Peer data illustrates this shift: in 2021, Intel's EBITDA of 33.8 billion dollars far exceeded its competitors, but by 2025, NVIDIA's projected EBITDA of 86.1 billion dollars has significantly surpassed Intel's 14.3 billion dollars. To counter these trends, Intel is executing its IDM 2.0 strategy, which focuses on regaining process technology leadership and expanding manufacturing capacity.

The company's recent financial performance reflects these transitional challenges. Revenue has contracted at a compound annual growth rate of -9.6% since 2021, falling from 79 billion dollars to 52.8 billion dollars in 2025. The 2024 fiscal year marked a significant low point, with EBITDA plunging to 1.2 billion dollars and earnings per share dropping to negative 4.38 dollars. Despite these headwinds, recent data suggests a stabilization and potential recovery. EBITDA margins, which bottomed out at 2.3% in 2024, recovered to 27.2% in 2025. Looking ahead, revenue growth is expected to return to a positive trajectory of 4% to 6% through 2027. While current earnings remain pressured, the gradual improvement in contribution margins toward 37.8% suggests that Intel's cost-reduction efforts and investments in next-generation manufacturing nodes are beginning to stabilize the business for long-term growth.

Investment Overview

Intel Corporation is currently navigating a complex multi-year turnaround following a period of significant top-line erosion. Revenue declined at a negative 9.6 percent CAGR between 2021 and 2024, bottoming out at approximately 53.1 billion dollars. This contraction was accompanied by a severe compression in profitability, with EBITDA margins falling to a cyclical low of 2.3 percent in 2024. However, recent financial data suggests the company has reached an inflection point.

The primary growth drivers moving forward include a stabilization of the core client business and a projected return to revenue growth, estimated at 5 to 6 percent for 2025 and 2026. A key highlight of the recent performance is the aggressive management of operating expenses; SG&A costs have been reduced from 7 billion dollars in 2022 to a projected 4.4 billion dollars by 2027. This fiscal discipline is expected to drive a significant recovery in EBITDA, which is forecasted to rebound to 14.3 billion dollars in 2025, representing a 27.2 percent margin.

From a valuation perspective, Intel remains a recovery play. While peers like NVIDIA and AMD have captured the bulk of recent AI-driven expansion, Intel is focused on restoring manufacturing leadership and improving contribution margins, which are expected to climb back toward 38 percent by 2027. While earnings per share are projected to remain slightly negative in the near term, the 2025 forward EV/EBITDA multiple of 14.5x offers a more conservative entry point compared to AMD's 47.8x. The outlook remains contingent on Intel's ability to execute its technological roadmap and stabilize its market share in the data center and foundry segments.

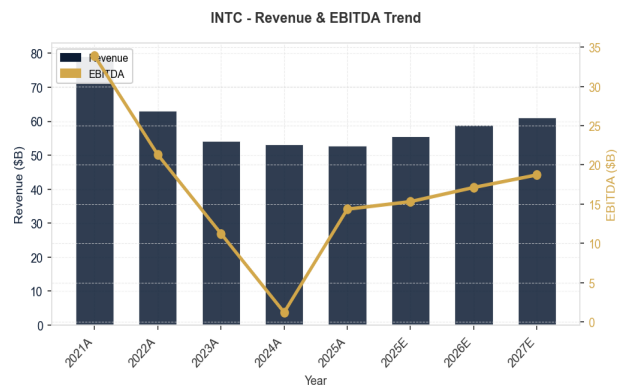
Financial Analysis

Revenue & EBITDA Performance

Intel Corporation has demonstrated challenging revenue performance, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$52.9B
- EBITDA (2025A): \$14.4B
- Revenue Growth (2025A): -0.5%



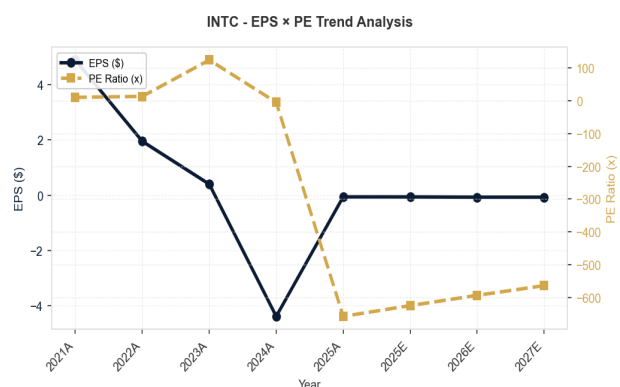
Source: Company Filings

Earnings & Valuation Metrics

Intel Corporation's earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): -0.06
- PE Ratio (2025A): -658.38



Source: Company Filings

Valuation Analysis

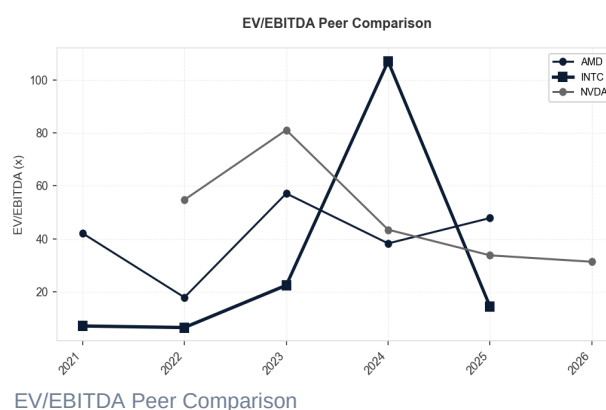
Intel Corporation is currently navigating a complex structural transition, reflected in its highly volatile valuation metrics and deteriorating historical growth. Between 2021 and 2025, revenue declined at a negative CAGR of 9.6 percent, with EBITDA margins collapsing from 42.9 percent to a low of 2.3 percent in 2024 before a projected recovery to 27.2 percent in 2025. Because earnings per share turned negative in 2024 and are expected to remain slightly negative through 2027, traditional price-to-earnings multiples are currently non-meaningful for fundamental assessment.

From a peer perspective, Intel trades at a significant discount on an enterprise value to EBITDA basis. Its 2025 forecasted EV/EBITDA of 14.5x is substantially lower than AMD at 47.8x and NVIDIA at 33.8x. While this suggests a value opportunity, the discount reflects Intel's lack of top-line growth and the massive capital expenditures required for its foundry strategy. While peers are seeing explosive growth driven by accelerated computing, Intel is still stabilizing its core operations, with revenue not expected to return to 2022 levels until after 2027.

Our fair value assessment suggests that Intel is currently priced as a turnaround play rather than a growth stock. The stabilization of EBITDA to 14.3 billion in 2025 is a positive signal, but the persistent negative EPS through 2027 limits immediate upside. Fair value is likely constrained to the 14x to 16x forward EV/EBITDA range until the company demonstrates a clear path back to positive net income and higher capacity utilization. Investors should view the current valuation as a reflection of high execution risk balanced against a low entry multiple relative to the broader semiconductor sector.

Peer Comparison

Year	AMD	INTC	NVDA
2021	42.10	7.13	N/A
2022	17.91	6.55	54.72
2023	57.12	22.48	81.05
2024	38.27	106.94	43.45
2025	47.85	14.50	33.78
2026	N/A	N/A	31.36



Recent News & Events

News Summary

Intel is experiencing a significant momentum shift following a blowout Q1 2026 earnings report, pushing the stock toward record highs alongside peers like Nvidia and Micron. This performance suggests the company's multi-year turnaround strategy is finally yielding tangible operational improvements.

Key developments center on a stabilization of Intel's core financials. Revenue, which saw a steep decline from 79 billion dollars in 2021 to approximately 53 billion in 2025, is projected to begin a steady recovery through 2027. Most notably, EBITDA margins have rebounded from a dismal 2.3 percent in 2024 to an estimated 27.2 percent in 2025, signaling improved cost controls and manufacturing efficiency. While earnings per share remain marginally negative, the trend indicates a move toward near-term profitability. Retail sentiment is high but polarized; X.com users remain bullish, while Reddit discussions show significant skepticism regarding the sustainability of the current rally.

Investment implications are nuanced. Analysts at Barclays have raised price targets to 65 dollars but maintain a cautious Equal Weight rating, questioning if the comeback is already priced into the stock. Intel's forward EV/EBITDA of 14.5x for 2025 makes it appear mathematically cheaper than AMD at 47.8x or Nvidia at 33.8x, potentially offering a value play within the high-flying semiconductor sector. However, the Market Perform downgrades hitting peers like AMD suggest the broader chip rally may be overextended. For Intel, the primary risk is whether it can maintain this operational momentum to justify its recent price surge or if the stock will retreat as the initial earnings euphoria fades. Investors should watch for continued margin expansion as the primary indicator of a successful long-term recovery.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 27.6%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 29.1%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 30.6%

Confidence Intervals:

- Revenue: \$43.2B - \$79.2B (95% confidence)
- EBITDA: \$13.2B - \$24.2B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for INTC

Positive Catalysts (Upside Potential)

- Earnings (2026-04-27): With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-27): Intel: A Very Strong Q1 Report, But Remains A 'Hold'
- Impact: HIGH, Probability: 95%

- Market (2026-04-27): Tamboran Resources secures US\$198M for Beetaloo growth - ICYMI
- Impact: LOW, Probability: 50%
- Earnings (2026-04-27): Intel Stock Is on a Tear. Why Its Earnings Power Is a Worry.
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-26): Intel: Pump The Brakes
- Impact: HIGH, Probability: 95%

Events to Monitor

- Stock Of The Day: Is The Intel Rally Over? (2026-04-27)
- Intel's CPU Comeback Lifts All Boats — Can AMD and ARM Ride the Same AI Wave? (2026-04-27)
- 7,128 Shares in Intel Corporation \$INTC Acquired by Facet Wealth Inc. (2026-04-27)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)

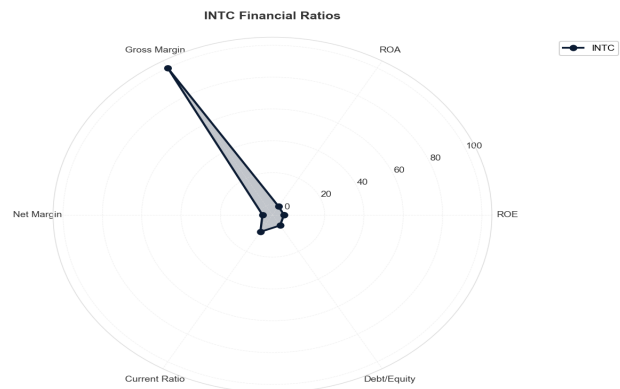
Positive Catalysts:

- ✓ With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?
- ✓ Intel: A Very Strong Q1 Report, But Remains A 'Hold'
- ✓ Tamboran Resources secures US\$198M for Beetaloo growth - ICYMI
- ✓ Intel Stock Is on a Tear. Why Its Earnings Power Is a Worry.
- ✓ Intel: Pump The Brakes
- ✓ Intel: The Unlikely Turnaround Story
- ✓ Intel (NASDAQ:INTC) Trading Up 23.3% on Strong Earnings
- ✓ Intel's Post-Earnings Rally Sent Its Stock to New Highs. These Rivals Are Getting a Lift Too.
- ✓ Stock Market Today, April 24: Intel Surges After Q1 Earnings Beat Expectations
- ✓ Stock Market Gains As Intel Drives Chip Surge; Fed Meeting, Powell On Deck
- ✓ Intel Delivers Strong AI-Fueled Outlook | Bloomberg Tech 4/24/2026
- ✓ Nvidia replaced Intel in the Dow — today, Intel earnings are lifting NVDA
- ✓ Intel's Post-Earnings Rally Sent Its Stock to New Highs. These Rivals Are Getting a Lift Too.

Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Intel Corporation's financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.



Financial Ratio Radar Chart

Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators

Competitive Landscape

Intel Corporation is currently navigating a significant structural turnaround, as evidenced by a revenue decline from 79 billion dollars in 2021 to approximately 52.8 billion dollars in 2025. This represents a negative compound annual growth rate of 9.6 percent, contrasting sharply with the growth trajectories of its primary competitors, NVIDIA and AMD. While Intel historically led the peer group in absolute EBITDA, it experienced a severe collapse in 2024, with EBITDA margins bottoming out at 2.3 percent.

In comparison, NVIDIA has effectively decoupled from the group, with its EBITDA projected to reach 86 billion dollars by 2025, dwarfing Intel's 14.3 billion dollars for the same period. AMD maintains a more stable growth profile, with its EBITDA expected to rise to 8.6 billion dollars by 2027. Intel's profitability metrics have also suffered, with its contribution margin dropping from 55.4 percent in 2021 to the mid-30s.

From a valuation perspective, Intel's forward EV/EBITDA multiple of 14.5x for 2025 suggests it is being priced as a recovery play. This is significantly lower than AMD's 47.8x and NVIDIA's 33.8x, reflecting investor skepticism regarding Intel's ability to match the high-growth and superior margin profiles of its rivals. Although Intel's internal projections suggest a gradual recovery in revenue and EBITDA through 2027, the company faces a steep climb to regain lost market share. The data highlights a clear divergence where NVIDIA and AMD are capitalizing on AI-driven demand, while Intel remains focused on stabilizing its core operations and reducing SG&A expenses to restore profitability.

Risk Factors

- As a risk analyst, I have identified the following 5 key investment risks for Intel Corporation (INTC) based on the provided financial data:
- * Sustained Negative Earnings Profile: Intel's EPS has transitioned from a robust \$4.89 in 2021 to a projected loss through 2027 (-\$0.07). The inability to forecast a return to profitability within the next three years suggests deep-seated structural issues or a failed turnaround strategy.
- * Significant Revenue Contraction and Stagnation: The company exhibits a negative revenue CAGR of -9.6%. Even with projected growth in 2025–2027, the estimated 2027 revenue (\$61.2B) remains nearly 23%

below 2021 levels (\$79.0B), indicating a permanent loss of market share or a secular decline in core business segments.

■ * Severe Margin Erosion: The Contribution Margin has collapsed from 55.4% in 2021 to a projected floor in the mid-30% range. This 2,000+ basis point decline, coupled with an EBITDA margin that bottomed at 2.3% in 2024, reflects a loss of pricing power and significantly higher manufacturing or operational overhead.

■ * Inflexible Cost Structure: Despite a \$26B drop in revenue between 2021 and 2025, "Cost of Operations" has remained stubbornly high (staying around \$34B–\$35B). This indicates high fixed costs and limited operational leverage, making the company highly vulnerable to even minor revenue misses.

■ * Extreme Competitive Divergence: Peer data shows a massive valuation and performance gap. While NVIDIA's EBITDA is projected to grow from \$11B (2022) to \$382B (2027), Intel's EBITDA is struggling to return to half of its 2021 peak. This suggests Intel is failing to capture the high-growth AI and data center tailwinds benefiting its primary competitors.

Key Takeaways

- ✓ As a financial analyst, here are the four major takeaways for Intel Corporation based on the provided data:
- ✓ Revenue Growth: Transition from Contraction to Recovery
- ✓ After a period of significant decline characterized by a -9.6% CAGR and sharp contractions between 2022 and 2024, Intel is projected to return to positive growth. Revenue is expected to stabilize in 2025 and reach a modest growth rate of 4% to 6% through 2027.
- ✓ Gross Profit Margin: Gradual Recovery Following a Sharp Decline
- ✓ Intel's contribution margin (proxy for gross margin) experienced severe compression, falling from 55.4% in 2021 to a low of 32.7% in 2024. However, the company has entered a recovery phase, with margins projected to expand steadily toward 37.8% by 2027.
- ✓ SG&A; Expense Margin: Improved Operational Efficiency
- ✓ Intel has successfully implemented cost-control measures, reducing absolute SG&A; spending from \$7.0 billion in 2022 to \$4.6 billion in 2025. This discipline is reflected in the SG&A; margin, which is projected to reach a multi-year low of 7.2% by 2027, signaling leaner operations.
- ✓ EBITDA Margin: Significant Rebound After 2024 Lows
- ✓ Profitability reached a critical low in 2024 with an EBITDA margin of just 2.3%, but it staged a massive recovery to 27.2% in 2025. Looking forward, EBITDA margins are expected to stabilize above 30% as the company moves past its recent earnings trough.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$79.0B	\$63.1B	\$54.2B	\$53.1B	\$52.9B
SG&A	\$6.5B	\$7.0B	\$5.6B	\$5.5B	\$4.6B
Contribution Profit	\$43.8B	\$26.9B	\$21.7B	\$17.3B	\$18.4B
Contribution Margin	55.4%	42.6%	40.0%	32.7%	34.8%
EBITDA	\$33.9B	\$21.3B	\$11.2B	\$1.2B	\$14.4B

EBITDA Margin	42.9%	33.8%	20.7%	2.3%	27.2%
SG&A Margin	8.3%	11.1%	10.4%	10.4%	8.7%
Revenue Growth	N/A	-20.2%	-14.0%	-2.1%	-0.5%
EPS	4.89	1.95	0.40	-4.38	-0.06
PE Ratio	10.48	13.55	124.66	-4.63	-658.38

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.40	0.41	0.47	0.50	0.41
Debt/Assets	0.23	0.23	0.26	0.25	0.22
Interest Coverage	32.6x	4.7x	0.1x	-14.2x	-0.0x
Net Margin	25.1%	12.7%	3.1%	-35.3%	-0.5%
Current Ratio	2.13	1.57	1.54	1.33	2.02
CF to Debt Ratio	0.77	0.37	0.23	0.17	0.21

DISCLAIMER

Disclaimer: The information contained in this document is intended only for use by the person to whom it has been delivered and should not be disseminated or distributed to third parties without our prior written consent. This report is for informational purposes only and does not constitute investment advice. Our firm accepts no liability whatsoever with respect to the use of this document or its contents. Past performance is not indicative of future results.

Data Source: FMP, Company Filings, AI4Finance Estimates

Report Generated: 2026-04-27 17:19 ET | AI4Finance Foundation FinRobot Equity Research